

support provided under this scheme is unprecedented and we hope that the companies approved will achieve their targets and support the creation of a self-sustaining ESDM ecosystem in the country," says Rajoo Goel, secretary general, Electronic Industries Association of India (ELCINA).

He adds, "ELCINA congratulates these selected companies and requests the government to either introduce a new PLI Scheme or widen the ambit of the existing scheme to support investments in components that require lower capital investment thresholds and production targets. Components require higher value addition and are capital intensive due to which their capital-output ratio is lower. This will also enable more Indian MSMEs to invest in electronic component manufacturing and create more job opportunities in the sector. Such a PLI Scheme could be operated with a much smaller budget compared to the existing PLI scheme and will give a major boost to establish an Atmanirbhar electronics manufacturing value chain."

Investing in increasing domestic production of mobile phones

All the companies approved under the PLI scheme will now be investing in increasing the domestic production of mobile phones in the country. A part of the National Policy on Electronics, MeitY, in April 2020, had notified a scheme promising incentives of four to six per cent for electronics companies that manufacture mobile phones.

Companies approved for PLI scheme for mobile phones

- **Lava International**, in February 2020, had mentioned that it was aiming to raise 90 million dollars for research and development in the sub-\$150 mobile phones price segment. The company, in May 2020, had also announced that it would shift its production for the export market from China to India within the next six months.
- **Bhagvati's (Micromax)** founder Rahul Sharma recently posted a video on social media announcing the launch of a new brand called In. He, in that video, mentioned that what China did was wrong, and Micromax will be working for India from India.
- **Padget Electronics** had become a hundred per cent subsidiary of Dixon Technologies in 2019. Dixon Electronics will begin operations at its 11th facility in India in January 2021. Located in Noida, it is Dixon's third dedicated plant for assembling mobile phones.
- **UTL Neolyncs**, the maker of Karbonn Mobiles, is investing one billion rupees to add four surface-mount technology (SMT) lines along with assembly lines at its Tirupati factory in Andhra Pradesh. The company is aiming to take its production capacity to 3.3 million units per month.
- **Optimus Electronics** announced its partnership with Taiwan's Wistron in 2015. Its clients include the likes of Oppo, LG, OnePlus, Blackberry, and Micromax.
- **Samsung** has already started manufacturing mobile phones at its newest facility in India. Said to be the largest mobile manufacturing facility in the world, the same is located in Noida, Uttar Pradesh.
- **Foxconn**, as per several media reports, is planning to invest one billion dollars in India. The company might be moving away from China as a part of USA-headquartered Apple's request.
- **Rising Star** is an entity owned hundred per cent by Foxconn. It is famous for making smartphones for brand Xiaomi. Rising Star's expansion plans are in sync with those of Foxconn.
- **Wistron**, apart from immediate expansion plans in India, is also said to be planning expansion in Malaysia, Mexico, and Vietnam. The company plans to invest twelve billion rupees (as per media reports) under the PLI scheme.
- **Pegatron**, born from AsusTek Corporation, is a Taiwan-headquartered EMS company. It plans to invest twelve billion rupees under the PLI scheme in India.

Companies manufacturing and selling mobile phones for prices not below 15,000 rupees are eligible for getting an incentive of up to six per cent on incremental sales of these in India. The scheme is active for a period of five years, taking FY 2019-20 as the base year. The total incentive for the first year is capped at 53.34 billion rupees. And 80.64 and 84.25 billion rupees have been capped as the total incentive figures for the second and

third years, respectively.

However, the fourth year incentives are capped at 114.88 billion rupees, and for the fifth year, the incentives have been capped at 76.40 billion rupees. The total incentive, as promised by MeitY, is capped at 409.51 billion rupees. It is to be noted that any investment made on land and buildings will not be counted under any kind of incentive.

While announcing the schemes, Ravi Shankar Prasad had pointed out that the focus was on creating five champions from India and bringing five global mobile phone manufacturing champions to the country. The government within the first list seems to have announced all the participants for the scheme, leaving no room for more companies.

India, as per a report by India Brand Equity Foundation, exported 36 million units of the smartphones in FY20 compared to 17 million units exported in FY19. The same report states that India's contribution to the global smartphone market increased from nine per cent in 2016 to sixteen per cent in 2019. **EFY**

Companies approved under SPECS scheme

- **AT&S** designs and manufactures printed circuit boards and substrates for semiconductors. Its India facility is located in Karnataka.
- **Ascent Circuits**, headquartered in India, is into designing and manufacturing PCBs. It has a manufacturing facility located in Hosur, Tamil Nadu.
- **Visicon**, headquartered in the UK, specialises in machine vision systems, collaborative robotic systems, industrial ID systems, and automated control systems. The company refers to itself as a technical resource for OEMs, distributors, and end-users.
- **Walsin**, headquartered in Taiwan, is a manufacturer of multi-layer integrated ceramic chips (MLCC). It also specialises in the production of passive components.
- **Sahasra Electronics**, headquartered in India, is into electronics manufacturing. Its offerings include printed circuit assembly, board design, and PCB manufacturing.
- **Neolync** is a recently announced joint venture between NeoLync, an Israeli electronics company, and Deki Electronics, an Indian electronic components manufacturer. It has proposed to set up a manufacturing facility to manufacture passive electronic components including but not limited to capacitors, resistors, inductors, and systems in packages (SIPs).